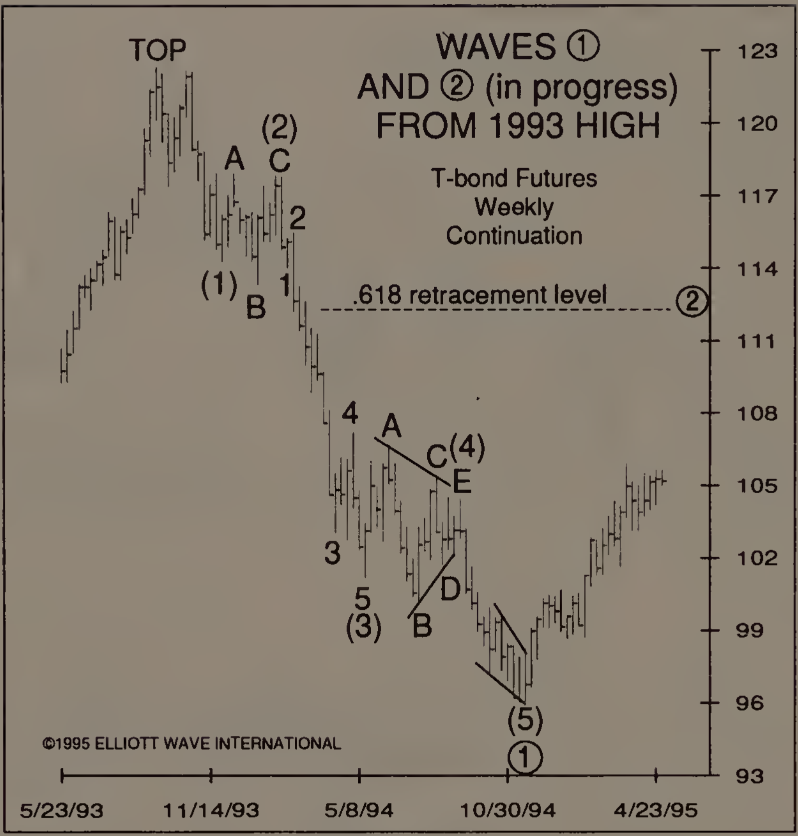

Figure 16-8

sometimes have deeper retracements. T-bill and Eurodollar prices have hardly budged, so may peak closer to a .382 retracement. This approaching high should coincide with a peak in the bullish fever toward stocks.

OUTLOOK

The powerful combination of factors cited above, including a triple zigzag pattern for the advance, the meeting of price resistance, the fulfillment of Fibonacci time intervals, and the five-wave kickoff of a new downtrend, argue emphatically that the 13-year recovery is over, that a major turn to the downside has taken place. Despite today's widespread opinion that bonds offer an unprecedented buying opportunity as a result of the 1994 decline, the Elliott Wave pattern requires that bond prices fall to new lows for the century in wave (III). Third waves tend to be powerful and/or lengthy, so downside potential is tremendous. Interest rates underwent a nearly nonstop rise from 1946 to 1981, doubling three times. If the bond market rally of 1981-1993 and the rebound into 1995 have done